AGREEMENT OF LEASE

(This affords the Tenant the protection as provided by the Consumer Protection Act)

Made and entered into by and between

Name: Thethiswa Caroline Charlie
Contact No/s: 0710083483
Email address: thethiswacharlie@gmail.com

In this agreement referred to as the “Landlord”

And

Name:
Identity / Passport Number:
Date of Birth:
Contact No/s:

In this agreement referred to as the “Tenant”

CONSUMER PROTECTION ACT NOTICE

In complying with the Consumer Protection Act:

Limit in some way the risk or liability of the Landlord or any other person;

The Tenant is required to ensure that before signing this agreement that he has had an adequate opportunity to understand these terms. If the Tenant does not understand these terms or if the Tenant does not appreciate their effect, the Tenant is required to ask for an explanation and must not sign the agreement until the terms have been explained to the Tenant’s satisfaction.

WHEREAS the Landlord is entitled to let the premises;
AND WHEREAS the Landlord wishes to lease the premises to the Tenant who wishes to hire the premises from the Landlord;

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THE PARTIES THEREFORE AGREE AS FOLLOWS:

1. LEASE AND PREMISES

1.1 The Landlord hereby lets to the Tenant who hereby hires from the Landlord certain premises more fully described as:

("the premises")

1.2 In the event that the Landlord is, for any reason beyond his control (with the exception of the Landlord's gross negligence) unable to furnish the Tenant with vacant occupation of the premises on the commencement date of the lease, the Landlord shall not be liable for any damages suffered by the Tenant as a result of this.

1.3 The Tenant shall however have the option either to wait for vacant occupation to be available or cancel the lease. In the event that the Tenant decides to wait for vacant occupation of the premises, the Tenant shall not be liable for rental or any other amounts for the period during which the Tenant was denied vacant occupations.

1.4 In the event that the Tenant decides to wait for vacant occupation of the premises, the Landlord undertakes to advise the Tenant as soon as reasonably possible when the Tenant can take vacant occupation of the premises.

2. PERIOD OF LEASE

2.1 INITIAL PERIOD – 12 MONTH LEASE

2.1.1 The lease shall commence on _____**or upon payment of deposit and _____rental.**

2.1.2 In the event that the Tenant has complied strictly with all the Tenant's obligations in terms of this agreement the Tenant shall have the option to renew this lease for a further period of **12** months (hereinafter referred to as "the option period"). Such option is to be exercised in writing by the Tenant no later than three (3) months prior to the date of termination of the initial period of the Lease failing which it shall lapse.

2.1.3 The renewal of the Lease in terms of the option shall be on the same terms and conditions as set out in this Lease

2.1.4 Upon the inception of the option period the Tenant shall increase the deposit pro-rata the increase in the rental amount.

2.1.5 There shall be only one option period available to the Tenant.

2.2 CANCELLATION OF FIXED TERM AGREEMENT AND REASONABLE PENALTIES

2.2.1 In the event that the Tenant cancels the lease, the Tenant will become liable to the Landlord for a reasonable cancellation penalty.

2.2.2 The Tenant must give the Landlord a minimum of 15 days written notice before moving out.
A 30-day (one month) notice is preferred to allow the Landlord time to find a replacement tenant.
Failure to give proper notice will result in:

- **one month's rental charged as a reasonable penalty.**

2.2.3 *The parties hereby agree that the reasonable cancellation penalty shall include, but under no circumstances be limited, to the following:*

2.2.3.1 An amount of one month rental.

2.2.4 The Landlord shall be obliged to take all reasonable steps to find a replacement Tenant to take over the premises. If the Tenant does find another tenant to take over the premises within a month after the cancellation in terms of
this paragraph, the Landlord shall refund to the Tenant a proportionate amount of the penalty of one month rental.

2.3 TERMINATION OF AGREEMENT ON EXPIRY OF FIXED PERIOD

2.3.1 On termination of the lease, the tenant shall return all keys and remotes for the Premises. The Premises and their contents shall not be deemed to have been returned until all keys to the Premises are returned to the Landlord. The Tenant acknowledges that he/she will be liable to pay rent until the keys are delivered, as aforesaid.

3. RENTAL & RECEIPTS FOR PAYMENT

3.1 INITIAL RENTAL

3.1.1 The rental under the lease shall be the sum of **R1500 or R3000 (for main house)** per month payable in advance strictly on or before the first day of each and every month directly into such bank account as the Landlord may from time to time direct in writing.

3.1.2 The first month's rental shall become due and payable immediately upon signature of the lease by the Tenant and the Tenant shall not be entitled to take occupation of the premises prior to payment of this amount.

3.1.3 The Tenant shall not under any circumstances be entitled in the final month of the tenancy to withhold payment of the rent or any portion thereof and to set off such payment against any deposit which the Tenant may have paid in terms of this lease.

3.1.4 ***Should the Tenant attempt to set off the deposit against any rental payments due, including the final months rental, this shall be deemed to be indicative of the Tenant's intention to vacate the premises along with his goods to avoid payment of rent and the Landlord shall then be entitled to take steps to have***

the Tenant's goods attached and removed from the premises as security for such rental payment.

3.1.6 Until further notice the rental is to be paid into the following account:

Account holder: Mrs Thethiswa TC Charlie
Bank: Capitec
Account number: 1305645063
Branch code: 470010
Payment reference: Room number

Payment of rent must be made via debit order or EFT only – all cash and cheque deposits will attract bank charges which will be for the tenants account.

3.2 **DEPOSIT**

3.2.1 The Tenant shall pay to the Landlord a deposit of **R1500 or R3000 (main house)** on signature of this agreement. The Tenant shall not be entitled to take occupation of the premises prior to payment of the deposit. The deposit shall serve as security to the Landlord for the Tenant's financial obligations in terms of this lease.

3.2.2 At the expiration of the lease the Landlord and Tenant shall arrange a joint inspection (the outgoing inspection) of the premises at a mutually convenient time to take place on the afternoon of the last day of the lease period with a view to ascertaining if there was any damage caused to the dwelling during the period of the Tenant's occupation for which the Tenants responsible in terms of this lease. The Tenant is reminded that he is obliged to have removed all of his belongings from the premises prior to noon on the last day of the lease to enable the premises to be inspected while they are empty.

3.2.3 Should the Tenant fail to respond to the Landlord's request for the outgoing inspection, the Landlord must, on expiration of the lease, inspect the dwelling within seven days in order to assess any damage or loss which occurred during the tenancy.

3.2.4 Failure by the Landlord to carry out the outgoing inspection shall be deemed to be an acknowledgement by the Landlord that the premises are in a good and proper state of repair, and the Landlord will have no further claim against the Tenant who must then be refunded the full deposit plus interest by the Landlord.

3.2.5 On the termination of the lease, the Landlord may apply such deposit and interest towards the payment of all amounts for which the Tenant is liable under the said lease, including the reasonable cost of repairing damage to the premises which has occurred during the lease period and the cost of replacing lost keys or other items and the balance of the deposit and interest, if any, shall be refunded to the tenant by the Landlord within fourteen (14) days of the repairs been attended to.

3.2.6 The relevant receipts which indicate the cost which the Landlord incurred in carrying out such repairs or replacement, as contemplated above must be available to the Tenant for inspection as proof of such costs incurred by the Landlord.

3.2.7 Should no amounts be due and owing to the Landlord in terms of the lease, the deposit must be refunded by the Landlord to the Tenant within seven (7) days, without any deduction or set-off.

3.2.8 The Landlord shall be entitled to apply the deposit towards settlement of any amounts due by the Tenant in the following order of preference:

3.2.8.1 First to settle the costs of any employees or contractors required to carry out work at the premises along with the cost of associated materials and equipment;

3.2.8.2 Second to cover the costs of any items that required replacement in the premises;

3.2.8.3 Third to cover legal costs due in terms of this lease (if any);

3.2.8.4 Fourth to cover the costs of outstanding municipal services;

3.2.8.5 Fifth to cover interest on outstanding amounts; and

3.2.8.6 Finally to cover arrear rental (if any).

4. THE CONDITION OF THE PREMISES

4.1 GENERAL CONDITION OF THE PREMISES

4.1.1 The Tenant acknowledges and warrants that the premises along with its fixtures and fittings as viewed prior to the signing of the lease are, in his opinion:

4.1.2 Reasonably fit for the purpose of providing the residential accommodation as required by the tenant and that the Landlord shall not be obliged to carry out any repairs or refurbishment except as may be have been agreed by the parties in writing;

4.2 MAINTENANCE OF PREMISES.

4.2.1 *The Tenant shall be obliged at all times to maintain the premises, their contents, their fixtures, fittings and appurtenances in the same condition as they were in at the inception of the lease agreement and return same to the Landlord in this condition at the termination of the lease, fair wear and tear only accepted.*

4.2.2 The Landlord shall be responsible for maintaining the external walls, roof and other structural parts of the premises in good order and repair.

4.2.3 Should the condition of the external walls, roof or other structural parts of the premises result in leakage or danger to the Tenant, then it shall be the obligation and duty of the Tenant to advise the Landlord of this in writing.

4.2.4 The Landlord shall be obliged to take steps to have the defective condition rectified within a reasonable period.

4.2.5 The Tenant shall be liable for any damage done to the premises or any part thereof as a result of his/her actions or the actions of the Tenant's family and/or employees and/or contractors and/or invitees and/or visitors however such damage is caused.

4.2.6 Cleanliness and Care

The Tenant must:

- keep the premises clean, hygienic and free from damage
- dispose of waste properly
- avoid blocking drains

Failure to maintain cleanliness may result in cleaning fees being charged to the Tenant.

4.3 **ACCESS TO THE PREMISES**

4.3.1 The Landlord shall be entitled to inspect the premises after reasonable notice and at all reasonable times and in a reasonable manner and to make such repairs and alterations as are deemed necessary for the safety, preservation or improvement of the premises, both externally and internally.

4.3.2 *The parties agree that reasonable notice of an inspection or an impending repair or alteration shall be a period of no less than 24 hours which notice may be given verbally or by sms. Inspections may take place during the hours of 08h00 and 20h00. Repairs and alterations may be carried out on ordinary business days only between the hours of 08h00 and 17h00.*

4.3.3 The foregoing shall not limit the Landlord's rights to take any appropriate actions in respect of the premises, including gaining access, without notice in the case of emergency.

5. USE AND OCCUPATION OF PREMISES

5.1 The premises shall be used for residential purposes only and for no other purpose whatsoever and the Tenant shall not cause or permit any disorderly conduct of whatsoever nature upon the premises, nor permit the doing of any act, matter or thing in or about the premises which shall constitute or cause a nuisance or any inconvenience to the neighbors or any other person or persons.

5.2 **Occupancy Limits**
Only the Tenant named in this agreement may reside in the premises. No additional occupants, partners, children, family members, or guests may live on the premises without written permission.
Unauthorized occupancy is a breach of contract and may result in termination of the lease.

5.3 The Tenant hereby undertakes in no manner whatsoever to interfere with the present electrical installations on the premises without the consent of the Landlord first being obtained. Any form of electricity theft constitutes a **criminal offence** and will result in **immediate termination of this lease**, a fine of **R1500**, and full reimbursement of all electricity losses.

5.4 The Tenant shall not drive or permit to be driven any nails or screws into the walls or ceilings of the premises in such manner as may damage the walls and ceilings or any portion of the premises.

5.5 The Tenant shall not cause or permit any alterations, additions or improvements to the premises without obtaining prior approval of the Landlord in writing.

Should the Tenant cause or permit any alterations, additions or improvements to the premises, structural or otherwise, with or without the consent of the Landlord, he shall in any event receive no compensation on termination of the Lease and such improvement shall become the property of the Landlord. The Landlord may however at any time require the Tenant to restore the premises to the condition in which they were in at the inception of the lease in which event this shall be attended to forthwith at the expense of the Tenant.

5.6 The Tenant shall not keep any household pets of whatever nature in or on the premises without prior consent of the Landlord. Such consent by the Landlord shall be subject to the applicable Municipal by-laws.

5.7 **Illegal Activities**

The Tenant may not engage in or allow on the premises:

- drug storage, use, or sale
- possession of unlicensed firearms
- criminal activities of any nature
- violence, threats, or harassment
- behaviour causing police intervention

Any such activity will result in **immediate cancellation of the lease**.

6. MUNICIPAL AND OTHER SERVICE CHARGES

6.1 During the period of this Lease, the Tenant shall pay all electricity consumed upon the premises.

6.2 ***In the event of disconnection the Tenant shall be liable for all reconnection charges and or penalties which the Landlord might incur following such disconnection.***

7. INSURANCE / RISK

7.1 The Tenant shall be responsible, if he/she so desires, for effecting in his/her own name a Householders Comprehensive or other policy or policies to cover the personal effects, furniture and appliances upon the premises and shall pay the premiums in respect thereof.

7.2 The Landlord shall not be responsible for any loss or damage or any personal injury suffered by the Tenant or his/her family or invitees or employees on the premises, irrespective of whether such loss or injury is caused by fire, storm, riot, civil commotion, theft, robbery, accident or any other cause whatsoever, and the Tenant hereby indemnifies the Landlord and holds the Landlord harmless in respect of any such claim. This clause shall however not excuse the Landlord from liability for damages if such damage has been caused as a result of their gross negligence or if such damage has been caused by a failure on the part of the Landlord to honour his/her obligations as set out in the Maintenance clause above.

8. BREACH OF THE TERMS OF THIS LEASE AND FORMALITIES RELATING THERETO

8.1 **NOTICE OF BREACH**

8.1.1 If any party ("the defaulting party") commits a breach of this agreement and persists with such breach for more than:

8.1.1.1 7 (SEVEN) days after being called upon in writing to rectify same, then the innocent party shall be entitled (but not obliged) without prejudice to any other rights or remedies which it may have in law, including the right to claim damages, to enforce the agreement, and/or

8.1.1.2 20 (TWENTY) business days after being called upon in writing to rectify same, then the innocent party shall be entitled (but not obliged) without prejudice to any other rights or remedies which it may have in law, the right to claim damages, to cancel this agreement notwithstanding any steps already taken to enforce the agreement.

8.2 **CONSEQUENCES OF CANCELLATION**

8.2.1 ***Upon cancellation by the Landlord, the Tenant agrees to vacate the premises immediately and the Landlord shall be entitled to obtain repossession of the premises and for that purpose to take whatever action as may be necessary for the ejectment of the Tenant and/or any other occupant of the premises.***

8.2.2 Should the defaulting party be the Tenant, and should the Tenant dispute the Landlord's right to cancel and remain in occupation of the premises after date of cancellation, the Tenant shall continue to pay the rental, the municipal charges and any other amounts due in terms of the lease agreement as if the lease had not been cancelled. The Landlord shall be entitled to claim and accept payment of such amounts without prejudice to the Landlord's claim for cancellation. Should the matter be resolved in favour of the Landlord the Landlord shall be entitled to retain such amounts as a part of the damages suffered as a result of the Tenant's holding over.

8.3 **LANDLORD'S TACIT HYPOTHEC**

8.3.1 In terms of the South African common law, the Landlord has the right to use the furniture and other goods, which are brought onto the premises for the use of the tenant, as security for rental payments due by the tenant. This means that the Landlord can have these goods sold by the Sheriff of the Court to recover his rental if the Tenant does not pay.

8.3.2 The parties agree that the Landlord's hypothec over goods brought onto the premises shall extend to secure all claims that the Landlord might have against Tenant flowing from this agreement or the breach thereof, in addition to the claim for rental.

8.3.3 In the event that, after the tenant has vacated the premises following a breach, movable goods subject to the Landlord's hypothec remain on the premises, the Landlord shall be entitled to remove such goods from the premises and place same in storage to enable the Landlord to give vacant occupation to another Tenant. Notwithstanding the removal of such goods from the premises, these goods shall remain subject to the Landlord's tacit hypothec.

8.4 **INTEREST ON OVERDUE PAYMENTS**

Without prejudice to any rights which the Landlord may have in terms of this lease should the Tenant fail to pay any amount of whatever nature due by the Tenant in terms of this Lease on the due date thereof, then the tenant shall pay interest on such amount at the rate of 3% (three percent) per month from the date that such amount became payable up to and including the date of payment thereof, and such interest shall be paid together with the amount in respect of which such interest has accrued.

8.5 **CHOSEN ADDRESSES FOR SERVICE OF NOTICE**

8.5.1 The parties hereby choose the following addresses as the addresses at which they will accept all notices including legal notices and summons:

8.5.1.1 the Landlord:

Email:

8.5.1.2 the Tenant:

Email:

8.5.2 Any notice to any party shall be addressed to it at its chosen address and sent by prepaid registered post or delivered by hand or sent by e-mail to the e-mail address recorded.

8.5.3 In case of any notice sent by prepaid registered post, it shall be deemed to have been received, on the 4th (fourth) business day after posting.

8.5.4 If the document is sent in any other way it must be received by the addressee to be effective notice.

8.5.5 This paragraph shall not affect the provisions of any other law which deals with the service of documents issued by any court.

8.5.6 The appointment of these chosen addresses and the terms of this paragraph shall also be applicable to the parties in the event of the Estate Agent wishing to serve notices or legal documents on either the Landlord or the Tenant.

8.6 **LEGAL COSTS**

In the event of the any party incurring any legal expenses as a result of any breach of this lease by any other party to this agreement, such innocent party shall be entitled to claim such expenses from the party in default on the High Court scale as between attorney and own client including collection commission and tracing fees whether or not legal proceedings are formally commenced and regardless of the forum in which such proceedings are commenced.

8.7 **JURISDICTION**

The parties hereby consent to the jurisdiction of the Magistrate's Court in respect of any legal proceedings arising out of this Lease notwithstanding that the amount in dispute might otherwise exceed such jurisdiction. Any party shall be entitled to institute any action against the other arising out of this agreement in any other forum or court having jurisdiction and such party shall not be prejudiced in any costs order as a result of their choice of forum.

8.8 **JOINT AND SEVERABLE LIABILITY**

If there is more than one Landlord or more than one Tenant in terms of this agreement, they shall each be fully liable for all of the obligations and these obligations shall not be able to be divided between these Landlords/Tenants. In legal terms therefore the liability of each of the Landlords/Tenants shall be joint and several.

9. FUTURE SALES AND/OR LEASES

9.1 The Landlord shall have the right of affixing and exhibiting on the premises "To Let" / "For Sale" notices for a period of 3 (three) months prior to the termination of the Lease, or at any time, if the Lease continues upon a monthly basis.

9.2 The Tenant hereby undertakes to permit prospective tenants or purchasers to view the premises and the interior thereof at all reasonable times in accordance with the provisions of the paragraph headed “ACCESS” above and shall not hinder or interfere with the Landlord or his agent in the conduct of discussions or negotiations with prospective tenants or purchasers with a view to a further lease or to a sale.

9.3 In the event of the premises being sold to another owner during the period of the lease, the lease shall continue to remain binding upon the new Landlord, unless agreed otherwise by the parties hereto.

10. WARRANTIES BY THE PARTIES

10.1 The Landlord hereby warrants that he/she is legally entitled to let the premises to the Tenant.

11. NO CESSION, ASSIGNMENT OR SUB-LETTING

11.1 The Tenant shall not be entitled to transfer his/her rights and/or obligations in terms of this Lease, either in whole or in part, nor sublet the premises or any part thereof without the written permission of the Landlord.

12. COST OF LEASE

12.1 The costs of the preparation of this Lease and the copying thereof in an amount of **N/A** shall be paid for, by the Tenant upon signature hereof. The Tenant shall not be entitled to take occupation of the premises prior to payment of the costs of the lease.

13. WHOLE AGREEMENT, NO VARIATION OR WAIVER AND SEVERABILITY

13.1 This Lease agreement represents the entire agreement between the parties and no other conditions, stipulations, warranties or representations made by either party to the other, other than such as may be included herein, shall be binding on the parties.

13.2 Should the Tenant wish to rely on any conditions, stipulations, warranties or representations not recorded in this agreement, the Tenant is to write in the space provided below so as to allow the Landlord to consider this position prior to signing this lease agreement.

1) ***The tenants can paint the inside walls to any colour they prefer, but must first get consent from the landlord. The ceiling must always be painted with white water/ceiling paint.***
2) ***The Landlord contribute R500 towards the water/ municipal rates and, the rest will be shared amongst the tenants***

13.3 No variation or cancellation by agreement of this lease shall be binding on the parties unless reduced to writing and signed by both parties.

13.4 No extension of time or indulgence which either party might grant to the other shall have any effect on the rights which either party might have in terms of the agreement. Should either party not strictly enforce their rights under the contract this will not amount to a waiver of such a right, and it shall also not be regarded as creating a new or varied agreement.

13.5 If any provision of this agreement is found to be wholly or partly invalid, unenforceable or unlawful, then:-

13.5.1 to the extent of its invalidity, unenforceability or unlawfulness such provision will be severable from the remainder or the agreement; and

13.5.2 the remainder of this agreement will remain in full force and effect.

Signed by the Tenant this…….....……....day of ……..…..…….. 20….…..….

1. _____ _____
TENANT SIGNATURE

2. _____ _____
TENANT SIGNATURE

Signed by the Landlord this……..……day of ……..…….. 20……..….

1. _____ _____
LANDLORD SIGNATURE

2. _____ _____
LANDLORD SIGNATURE

THE TENANT ACKNOWLEDGES RECEIPT OF A COPY OF THIS AGREEMENT

_____ _____
TENANT TENANT

INCOMING CHECK LIST OF NON-MATERIALIMPERFECTIONS (DEFECTS) IN THER PREMISES

(This Check List must be completed and after it has been initialed by the Landlord and the Tenant attached to the lease as intended in paragraph 5.2)

DATE OF INSPECTION: _____

ROOMS _____

_____

_____

_____

BATHROOM _____

_____

_____

TOILET _____

_____

_____

KITCHEN _____

_____

_____

_____

LIVING ROOM _____

_____

_____